Are prediction markets decaying or evolving?

Eniola
@_drNeyo · Mar 4

2 11 25 2.3K

In 1419, Venice passed a law forbidding a specific type of bet; bets wagering against the life of the Pope.

Not on who becomes Pope, but on whether the current one would even survive.

That was a kind of prediction market, and it was already flourishing enough to warrant a ban at the time because of the structure and moral inclination of the markets. But the ban then did not kill the idea, it only just made people more creative. Instead of betting on the Pope's survival, people then started betting on succession.

Bets on “Which Pope comes next.”

As a result, it started feeling cleaner, more justifiable and less morally offensive. So it grew quietly, moving from something that felt like a moral hazard into something that felt closer to an institution.

That pattern is going to matter a lot by the time you finish reading this.

The Idea That Refused to Die

Every time prediction markets got banned or shut down, they came back in a different form. More refined, more accepted, and harder to kill than whatever version came before.

And it was not just the Vatican that had a problem with them.

In 2003, the United States Pentagon quietly tried to build a prediction market around geopolitical events in the Middle East. Things like the likelihood of

political instability, regime changes, and yes, terrorist activity.

The thinking behind it actually made sense.

If useful information about future events is scattered across hundreds of analysts, diplomats and field officers, a market would pull that information together faster and more accurately than any single agency working alone. They called it the **Policy Analysis Market.**

Hunter Weiss @Hunter_Weiss · Dec 19, 2025
Replying to @Hunter_Weiss
What if Kalshi/Polymarket is intended to be a legal PAM market

"U.S. Department of Defense's proposed Policy Analysis Market (PAM) in 2003, which was part of DARPA's FutureMAP program. It aimed to use prediction markets for forecasting geopolitical events but was rapidly
Show more

4 24 116 53K

And it never made it past the announcement stage.

because the congress pushed back, the press ran with it, and within twenty four hours the Pentagon had quietly killed the whole thing.

But what that moment actually showed, and which is the part that tends to get skipped over, is that the idea itself was never proven wrong. Nobody ran the experiment and came back with bad results. The market was shut down because of how it looked, not because of what it could do.

The discomfort of watching a government agency put a price on something as sensitive as human conflict was enough to end it before it ever started.

The concept though, that a group of people with real stakes in an outcome could collectively surface better predictions than any single expert or

institution, did not go anywhere.

It just went underground again, the way it always had, and waited.

When Prediction Market Came Back, It Came Back Differently

And when it came back, it came back without asking for permission.

The private market era did not arrive with a government stamp of approval. It arrived through the internet, through platforms built by people who believed the idea was sound and were willing to operate in the grey areas of financial regulation to prove it.

For example, @Intrade was one of the earliest and most visible. An Irish based platform where you could trade contracts on everything from election outcomes to economic indicators to whether a specific law would pass. At its peak it was being quoted by journalists and analysts as a more reliable signal than traditional polling, and for a while it genuinely was.

But as these platforms grew, it started becoming even more obvious that the moral hazard the Vatican tried to legislate away in 1419 never actually disappeared. It had just been waiting for a big enough platform to resurface on.

Today you can open @Polymarket, wjich is currently the largest prediction market platform in the world by volume, and sitting right alongside markets on elections and economic data you will find contracts on whether the United States goes to war with Iran, the probability of a nuclear event, the likelihood of a specific country's government collapsing within a given year.

These are live markets with real money behind them, and they exist in the same interface as a market on maybe who wins the next Premier League title (R.Madrid should be out of that list)

Two Ways to Look at the Same Thing

This is where it gets genuinely interesting, because there are two completely legitimate ways to look at this and they lead to very different conclusions.

The first view is that this is exactly what prediction markets are supposed to do. If there is genuine uncertainty about whether a conflict escalates, then a market that aggregates the views of informed people with skin in the game is producing useful information.

Analysts, geopolitical researchers, people with actual knowledge of the situation can price their beliefs in real time, and the output is a signal that no single news outlet or think tank could produce on its own.

The second view is that there is something deeply uncomfortable about a platform that profits from volume on markets tied to human suffering. That the line between information aggregation and spectacle gets very blurry when the interface looks identical whether you are trading on GDP growth or

a bombing campaign.

The interesting fact is how both views can coexist on the same platform without any real resolution, and that's one of the most telling things about where prediction markets are right now.

The Question Nobody Is Asking Loudly Enough

Oh yes, there is also a question that sits underneath all of this that rarely gets asked directly.

Who is creating these markets, and what do they actually know?

I don't think the original promise of prediction markets was about volume or accessibility. The Vatican bookmakers were taking bets from people close to the conclave, people with actual intelligence about what was happening behind closed doors. The Pentagon's Policy Analysis Market was designed specifically for analysts and diplomats who had access to information the general public did not.

The signal was supposed to come from the quality of the people in the market, not just the quantity.

And the uncomfortable reality that nobody building these platforms talks about is that there is currently no solid regulatory framework governing insider trading on prediction markets the way there is for traditional financial markets.

If someone with genuine foreknowledge of a geopolitical event, a defense contractor, an intelligence officer, a political operative with access to internal polling nobody has seen, opens a position on a relevant market, there is no mechanism to catch that, flag it, or prosecute it.

tyson brody @tysonbrody · Jan 3

Some war related insider trading? A brand new account in polymarket, only invested in US going to war with Venezuela and Maduro out by January 31. Up 13k so far, was spending thousands on Maduro out at bargain prices as recently as 4 hours ago. Now it's at .50.

151 2.1K 11K 7.8M

The same feature that makes prediction markets powerful, that informed

people surface better information through their trading, is the exact same feature that leaves them wide open to exploitation by people whose information advantage crosses a line that traditional markets would consider illegal.

It's not just a hypothetical concern but also a structural one, and it has existed in every version of this market since a Venetian banker first started taking bets near the Vatican walls. The question of whether the person on the other side of your trade knows something you don't is as old as the concept itself, and modern platforms have done very little to resolve it beyond the implicit assumption that the market will sort it out eventually.

Whether that assumption holds up as these platforms scale into billions of dollars in volume is one of the more interesting open questions in this space right now.

2024: The Year Everything Changed

And yet none of that stopped what was coming next.

The insider trading question still stays open, the moral hazard never got resolved, the regulatory grey areas remained exactly as grey as they had always been, and none of it mattered because 2024 arrived and changed the conversation entirely.

The United States presidential election became the moment prediction markets stopped being a niche concept that only traders and political junkies paid attention to.

Polymarket, built on the Polygon blockchain and operating outside the reach of American regulators at the time, processed over three and a half billion dollars in trading volume on the election outcome alone. Mainstream journalists who had spent years quoting polls were suddenly quoting Polymarket odds. Financial analysts now started treating those prices as signals.

And for the first time in the five hundred year history of this idea, prediction markets were sitting at the center of a national conversation.

Kalshi and Polymarket together generated more than forty four billion dollars in trading volume through 2025, with monthly volumes crossing ten billion dollars in November alone. To put that in perspective, the entire concept had been declared dead less than a decade earlier when regulators shut down Intrade and prediction markets looked like a failed experiment.

What changed was not the idea. The idea had always been sound, rather what changed was the infrastructure, the regulatory environment, and the timing.

In October 2024, a federal appeals court upheld a lower court decision blocking the CFTC from stopping Kalshi from offering political event contracts. This effectively allowed the first fully regulated election prediction

markets to operate in the United States. That decision cracked a door open that nobody could close again, and what followed was not gradual expansion. It was a spike.

Now Everyone Wants In

Within months of that ruling, everyone wanted in. And when I say everyone, I mean that quite literally.

@Robinhood entered prediction markets in October 2024 with presidential election contracts and launched its full prediction markets hub in March 2025, expanding to cover sports, economics, politics and culture, powered by Kalshi on the backend.

@Crypto.com expanded into prediction markets leveraging its 150 million plus user base, building infrastructure that now powers not just its own platform but also partners like Fanatics Markets, Underdog, and Truth Social.

Fanatics Markets also launched in December 2025 as the first major US sportsbook to enter the space, available across 24 states. @DraftKings Predictions launched the same month, live in 38 states. @FanDuel Predicts debuted in December 2025 through a partnership with CME Group.

DraftKings went further and acquired Railbird Exchange, a CFTC regulated futures exchange, giving them direct infrastructure rather than just a partnership. The New York Stock Exchange's parent company, Intercontinental Exchange, announced a two billion dollar investment in Polymarket, valuing it at around eight billion dollars.

In roughly fourteen months, prediction markets went from a court victory to a fully fledged industry with Wall Street money, sports betting giants, crypto exchanges and retail brokerages all competing for the same space.

Which brings an obvious question.

Is this evolution, or is this a new kind of memecoin cycle wearing a suit?

Because if you have been around crypto long enough, this pattern feels familiar. When a genuine underlying idea with real utility gets validated, the numbers start moving, and then capital rushes in faster than the ecosystem can absorb it. Suddenly there are a hundred versions of the same thing, and in the end, the signal gets buried under the noise, and the average participant can no longer tell the difference between something built with real intention and something built to capture attention during a hot cycle.

The memecoin era did not fail because crypto was broken. It failed because the flood of low quality entrants diluted the space until discernment became almost impossible.

I once read a piece that said if new entrants simply replicate the same systems with better interfaces they will not materially advance the space.

The real differentiator will be whether platforms can earn credibility by allowing users to verify that outcomes and settlements are executed exactly as advertised.

Baheet @Baheet_ · Feb 21

Article

The Memecoin Casino is Closing. Welcome to the Attention Economy.

TL;DR:
The Problem: Memecoins proved that internet attention is valuable, but trading meme tokens is now a chaotic, dangerous casino.
The Solution: Attention Markets are replacing the casino with...

17 20 102 24K

That is a polite way of saying what a lot of people in this space are already thinking privately.

Volume is not the same thing as value. Forty four billion dollars in trading activity means it is working, it doesn't mean it is clean.

So, Decaying or Evolving?

My honest answer is both.

And the fact that both can be true at the same time is exactly what makes this moment so interesting and so fragile simultaneously.

The infrastructure has genuinely evolved in ways that would have been unimaginable even ten years ago. The regulatory breakthrough is real. The volume is real. The mainstream attention is real. For the first time in five hundred years the pipes are big enough to match the scale of the idea, and that matters more than most people in this space are willing to acknowledge.

But infrastructure is not the same thing as integrity, and volume is not the same thing as signal.

The original promise of prediction markets was never that they would be large. It was that they would be accurate. That crowds with genuine skin in the game and genuine information would surface truth faster and more reliably than any individual expert or institution. That promise is still worth holding the space accountable to, especially now that the space is finally big enough for the accountability to matter.

What the Vatican banned in 1419, what the Pentagon tried to build in 2003, what Intrade proved was possible before it collapsed, and what Polymarket

demonstrated to the world in 2024 are all versions of the same underlying idea.

The idea has survived everything thrown at it. Moral panic, regulatory crackdowns, institutional resistance and its own structural flaws.

The only thing prediction markets have never been tested against is their own success. And if you're yet to participate, now might be the best time to leverage on your opinions.

I write based on my observations and research, and if you enjoyed this piece kindly share for more exposure and follow for more.

Tagging relevant pm creators

@Baheet_, @auli @CarOnPolymarket @probaaron @thenarrator @cryptovcdegen

References

Hanson, R. (2005). The Policy Analysis Market and FutureMAP archive. George Mason University.

NBC News. (2003, July 29). Pentagon kills terror futures market.

CNN Business. (2024, October 2). Federal appeals court allows Kalshi to offer US election betting.

DL News. (2025, September 24). Prediction market Kalshi overtakes Polymarket and sets off sports betting land grab.

CNN Business. (2025, May 9). Why prediction markets failed to see the American Pope coming.

Eniola
@_drNeyo
evolving

Following